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Software Snippets | Europe

Whipsaw Week as Software v Semis Inverse Correlation Spikes

Important events in the world of Software & Services in the week ahead, and key MS research / stories from the past week.

Key Takeaways

- A choppy week of price action across Software Services and Semiconductors (#Software, #IT Services)
- Hyperscalers: The Paths to 25-50% GenAI ROIC
- Global IT Services: Quantifying The Re-Skilling Race (#IT Services)
- European Software & Services: Broadly positive 2Q earnings continue
- Legora announces its fifth and largest Legal Tech acquisition in 2026 (#RELX, #Wolters Kluwer)

1) A choppy week of price action across Software & Services and Semiconductors (#Software, #IT Services): Following on from a strong last Friday, the Software & Services sub-sectors enjoyed a further sharp rally across Monday to Wednesday, with much of our coverage up over 15% by the end of Wednesday. These sub-sectors having been on the receiving end of more negative AI debates for around a year now (with a sharp downward move in February dubbed the 'SaaS apocalypse'). We think there is ongoing inverse thematic pairing between Software & Services (S&S) and Semiconductors (& Semicap); Semis as a beneficiary from positive sentiment around AI infrastructure build out, whereas S&S is still perceived as potentially disrupted over time as AI models evolve. In terms of day-to-day price action, we think sentiment around AI infrastructure is the 'price maker' whereas S&S price action is the 'price taker', and so a sharp rally in AI infrastructure names and Semis on Thursday induced a sharp downward move in S&S names. This inverse correlation is visible in European constituent data as we chart below – the correlation reaching c. -0.7x (a strong inverse correlation) over the past 10 weeks, while the c. 10-year average correlation was +0.55x (for most of this period there wasn't such a perceived fundamental thematic pairing).

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TECHNOLOGY - SOFTWARE & SERVICES

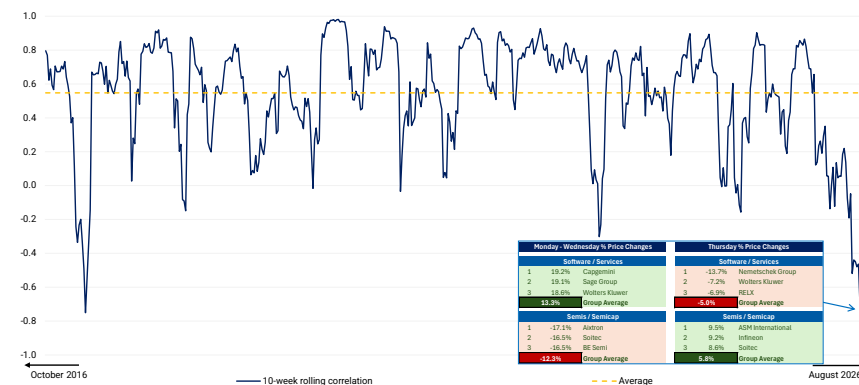
Europe	In-Line
Industry View	

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Exhibit 1: A sharply negative correlation has engulfed European Semis vs. European S&S; now a -0.7x negative 10-week rolling average



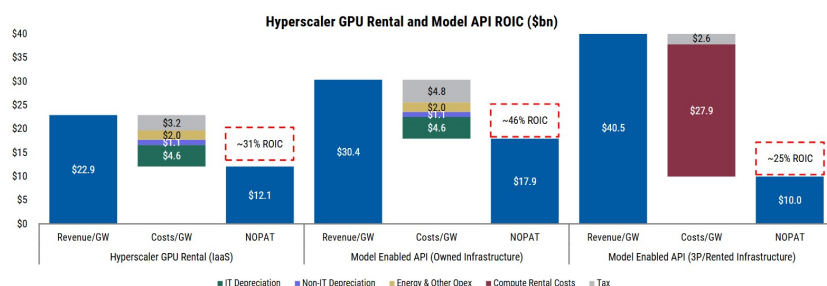
Data as of Thursday 30th July close, correlations on a weekly basis. NB: Software/Services group includes SAP, Sage Group, Temenos, Nemetschek Group, Wolters Kluwer, Amadeus, Dassault Systemes, RELX, Tieto, and Capgemini. Semis group includes Soitec, ASM Intl, BE Semi, Aixtron, Nordic Semi, VAT Group, Melexis, Infineon, STMicroelectronics, and ASML. Source: FactSet data, Morgan Stanley Research

While flows clearly matter, we think 2Q earnings season has provided *a degree of* fundamental reassurance around S&S names. Good growth prints out of the likes of SAP, ServiceNow and RELX were joined by Sage Group this week – and a lack of evidence of disruption, or better still, accelerating revenue growth was always going to be the route to better sector sentiment. We re-highlight [our moat analysis](#) from earlier this year, which underscores why we think replacing third-party packaged software is not as easy as it sounds, but competition and pricing questions will continue. That said, clearer demonstration of AI revenue is needed by a broader set of the cohort over the coming quarters. So where to from here? As the end of the week demonstrated, the equity price fortunes of S&S will likely continue to be influenced by the hardware side (MS Head of Thematic Research Stephen Byrd [suggested buying the AI infrastructure dip this week](#)). The reversion to the recent normal, with sell-offs in S&S at the end of the week, may keep interest subdued, but the sharpness of the rally off the lows may serve to re-ignite some investor interest back into the sector to re-check the validity of the disruption debates. And as companies continue to report earnings in 2Q and into 3Q, the case to start to more meaningfully bifurcate price action between application software vendors may build over the rest of the year.

2) Hyperscalers: The Paths to 25-50% GenAI ROIC: In a market environment where investors are firmly focused on understanding the potential ROIC from AI infrastructure investments, Head of US Internet Research Brian Nowak, published analysis of the potential returns on invested capital underpinning much of the AI infrastructure build-out. The analysis highlighted GenAI ROIC frameworks and models that he believes demonstrate (~25%+) incremental ROIC and unit economics that can be generated from 1) A Hyperscaler GPU Rental Business (IaaS), 2) A Model Enabled API, and 3) A Model Enabled API Running on 3P Infrastructure. Brian notes that *"Generally speaking these analyses highlight the importance for model labs to continue to invest and innovate (to drive token pricing and token efficiency)...and the significant (and rising) value of data center capacity. And this all requires investment...which favors scaled players and leaves us bullish AMZN, GOOGL, MSFT and META."* The note [drew the attention of Microsoft CEO Satya Nadella](#), who used

it to help build a ROIC Intelligence App. [See the full note here](#) for the mathematical frameworks and analysis.

Exhibit 2: Incremental unit economics and ROIC on the three main business models set to emerge through the age of AI inference



Source: Company data, Morgan Stanley Research Estimates. Note the "ROIC" on a Model-Enabled API running on 3P infrastructure is illustrative and represents revenue, adjusted for training capacity (training costs typically expensed in opex) less the rental cost of compute (COGS), taxed at 21%.

3) Global IT Services: Quantifying The Re-Skilling Race (#IT Services): Led by our LATAM TMT lead analyst Cesar Medina, the MS Global IT Services team published a global deep dive that puts numbers behind the AI talent bottleneck, drawing on 5m job postings and 1m developer profiles. The results point to an increasingly K-shaped market for tech talent. We found high demand for professionals who build AI and deploy it at scale (+107% y/y in 5M26 on our demand proxy), and the opposite for junior/automatable roles (-5% y/y). On the supply side, we found widespread talent scarcity in the US and abroad, which raises the value of credible AI implementation services – for which IT Services need to adapt their services offerings. During the prior 2014 cloud/hyperscaler transition, the market rewarded early movers that took 4 years to adapt and gained share via new revenue streams. For the 2025 AI transition, we note two differences vs. the prior cycle: 1) The pivot is now more complex as it involves not only changing revenue streams, but also adopting new delivery models; and 2) Persistent talent scarcity and concentration may force IT services firms to keep acquiring capabilities at higher valuations. If so, M&A becomes a recurring reinvestment cost, making FCF after SBC and acquisitions a better valuation lens than traditional P/E. In aggregate, the ~20 IT services companies under MS coverage are expected to reach ~\$300bn in revenues by 2028, or a 4% CAGR for 2026-28. Nonetheless, by replicating the sensitivity analysis done by our colleague Gaurav Rateria (India TMT analyst), we show a wide range of outcomes based on the pace of industry transition (from -3% CAGR to +7%). [See the full note here.](#)

4) European Software & Services: Broadly positive 2Q earnings continue (#Sage, #Capgemini, #Nemetschek, #Informa, #Amadeus): In the US, **Microsoft** (covered by Adam Wood) [delivered revenue and operating income beats](#) while Azure growth accelerated 4pts sequentially to 43% in cc, and guidance for approximately 45% growth in F1Q27; this supports Adam's view that incremental supply, improving fleet efficiency and faster capacity deployment can sustain stronger growth for longer. In Europe, **Sage's** [trading update showed a further acceleration of organic total revenue growth](#) to c. 10.4% at the 9M stage (implying c. 11% for 3Q), better than expectations and implying real momentum as they move into their final fiscal quarter of FY26; shares were up c. 9% on the day. At **Capgemini**, [robust organic](#)

growth was part of a 2Q beat on top-line and a raise to the FY26 growth guidance (now 8.5-9% from 6.5-8.5% previously). Despite outperforming peers in recent quarters, it was not enough to see shares up, with Capgemini's stock ultimately trading down c. 5% on the day. The reaction may partly reflect the sharp rally over the past several days leading up to the print, while the lack of margin upside in 1H and an outlook that still implies sequential deceleration in 2H were also likely headwinds. **Nemetschek Group's solid 2Q growth result was overshadowed by the guidance trim in the Media segment**, and some complexities around the HCSS consolidation impact. Despite group FY26 guidance being left unchanged, Nemetschek's shares were down c. 14% on the day. **Informa reiterated their FY26 guidance of 6± underlying revenue growth**, despite the Middle East conflict overhang, sending shares up 1% in a relief move. Finally, **Amadeus trimmed their FY growth outlook, as air traffic dynamics weighed on group performance in 2Q**. Trends at the start of 3Q paint a recovery curve from 3Q onwards, though results will likely remain influenced by first and second derivative impacts to the airline industry from the Middle East conflict.

5) Legora announces its fifth and largest Legal Tech acquisition in 2026 (#RELX, #Wolters Kluwer): The acquisition of London-based Wexler builds out Legora's product suite around litigation as it continues to build out its legal workflow capabilities. Wexler's fact-intelligence technology enables litigation and investigations teams to reconstruct complex matters from large document sets, trace assertions back to underlying evidence and identify inconsistencies. The deal brings Wexler's 18-person team into Legora and establishes the foundation of a new London engineering hub. Financial terms were not disclosed, though Wexler is indicated to have grown revenue 8x y/y (we think likely off a small revenue base). The acquisition continues to put to work more than \$600m of cash Legora raised in April 2026 as part of their Series D funding round. With regards to RELX and Wolters Kluwer in our coverage, which both have Legal businesses, we think AI debates around competition are ongoing. RELX's business is content-centric, while Wolters Kluwer's spans both Legal software and content. RELX eased segment-level competition concerns in its recent 1H26 results, as it accelerated its Legal segment revenue growth to c. 10% underlying y/y, counter to consensus expectations, and demonstrating its ability to participate in potential upside. That said, competition is rife in the Legal Workflow Tools market, and we think Harvey and Legora are making significant inroads into both corporate in-house legal and the largest enterprise law firms. Meanwhile, to date we see limited changes occurring in the competitive landscape of the Legal Research market (where RELX and Thomson Reuters dominate the US market). The next watch-point will be Thomson Reuters (covered by Toni Kaplan) earnings report next week.

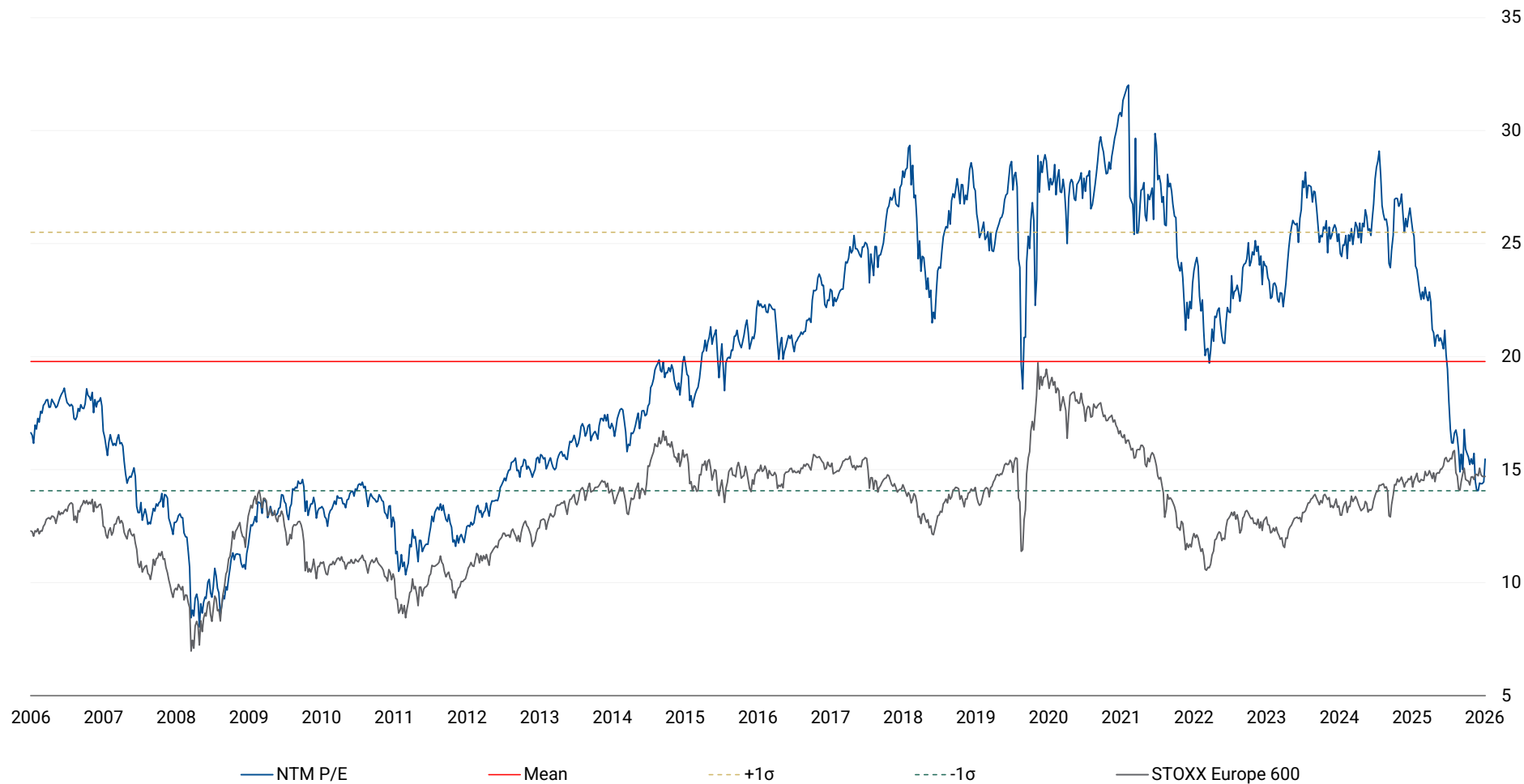
Exhibit 3: Key week ahead events

Monday 03/08/2026	Tuesday 04/08/2026	Wednesday 05/08/2026	Thursday 06/08/2026	Friday 07/08/2026
Palantir 2026 Results	FIS 2026 Results	Wolters Kluwer 1H26 Results	IONOS 2026 Results	
	Wix.com 2026 Results	Thomson Reuters 2026 Results	Fiserv 2026 Results	
	Booking Holdings 2026 Results	Springer Nature 1H26 Results	Sabre 2026 Results	
	Blackline 2026 Results	Expedia 2026 Results	GoDaddy 2026 Results	
			Siemens 3Q26 Results	
			Bentley Systems 2Q26 Results	
Key ■ MS Europe Coverage ■ Other Global Stocks ■ Industry Event ■ Other				

Source: Morgan Stanley Research

Coverage Valuation vs. European Market

Exhibit 4: European Software & Services NTM P/E vs STOXX Europe 600



NB: Mean of CAP, DSY, INF, NEM, REL, SGE, SAP, TEMN, TIETO, and WKL. Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

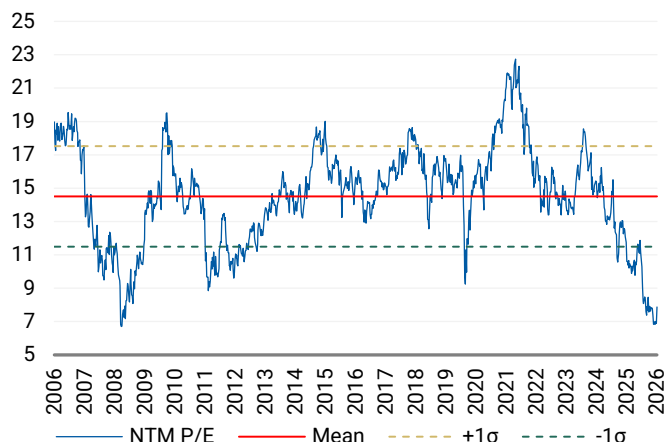
Long-Term Valuation Charts

Exhibit 5: Amadeus P/NTM Earnings



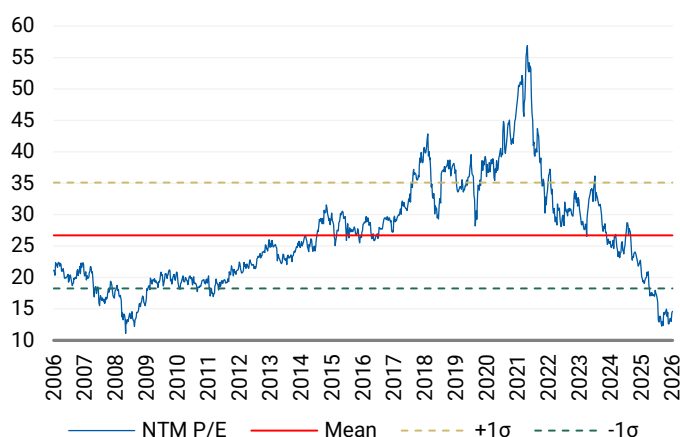
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 6: Capgemini P/NTM Earnings



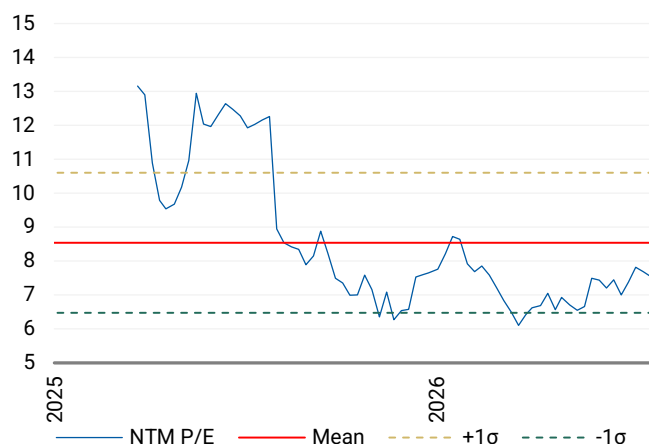
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 7: Dassault Systemes P/NTM Earnings



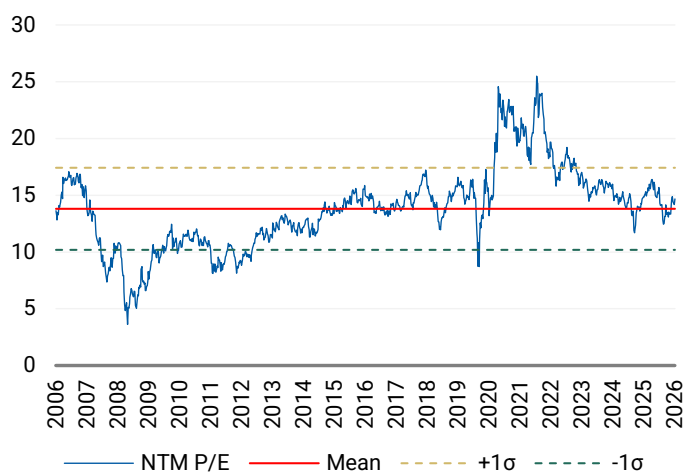
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 8: HBX Group International P/NTM Earnings



NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 9: Informa P/NTM Earnings



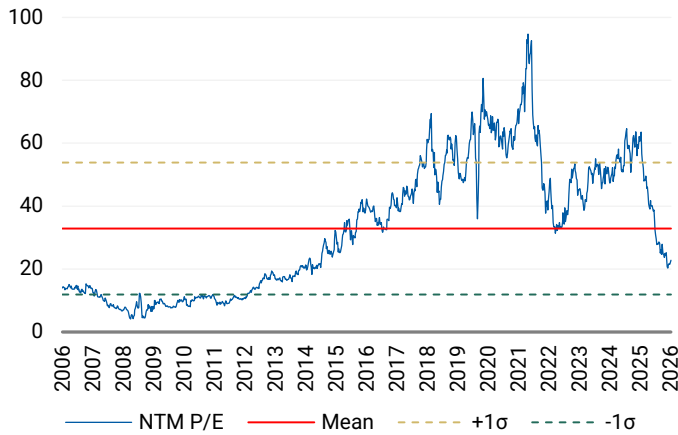
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 10: IONOS P/NTM Earnings



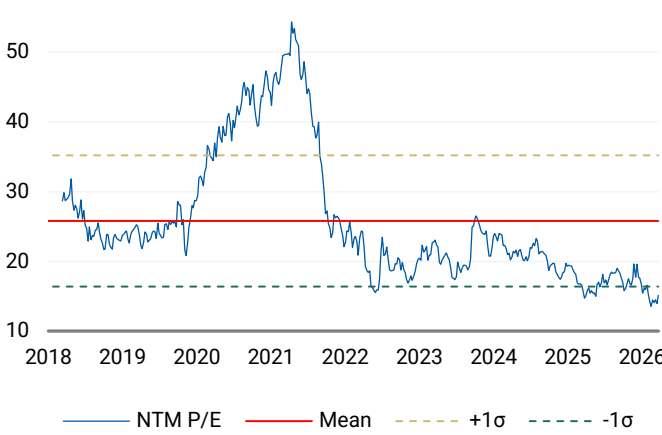
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 11: Nemetschek Group P/NTM Earnings



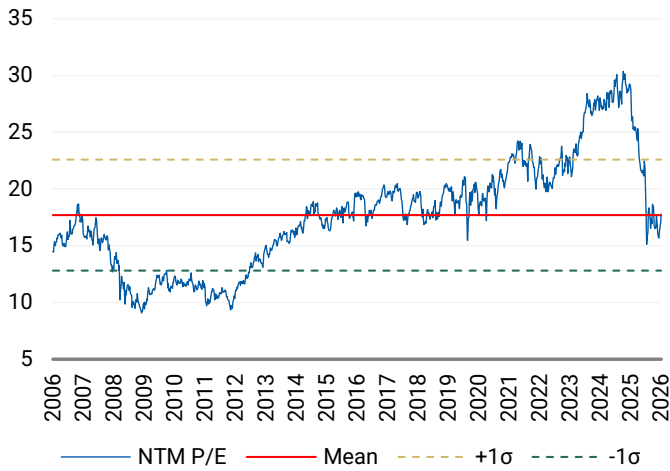
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 12: Netcompany P/NTM Earnings



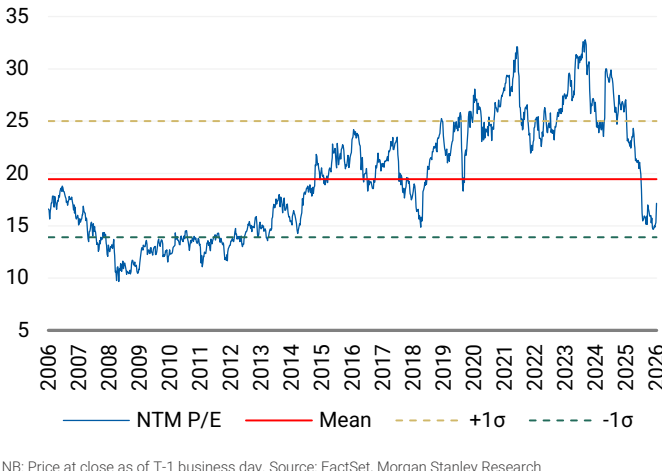
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 13: RELX P/NTM Earnings



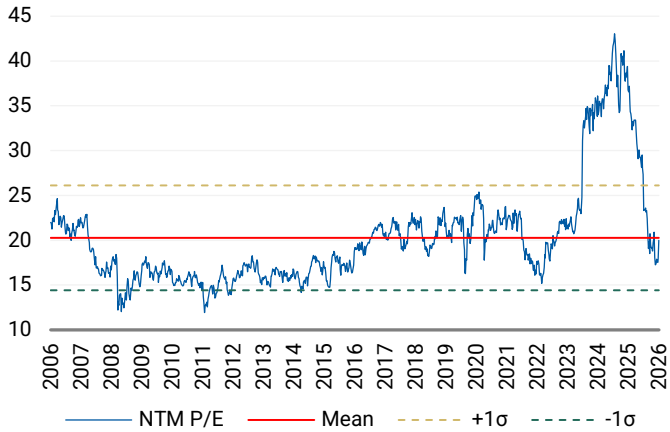
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 14: Sage Group P/NTM Earnings



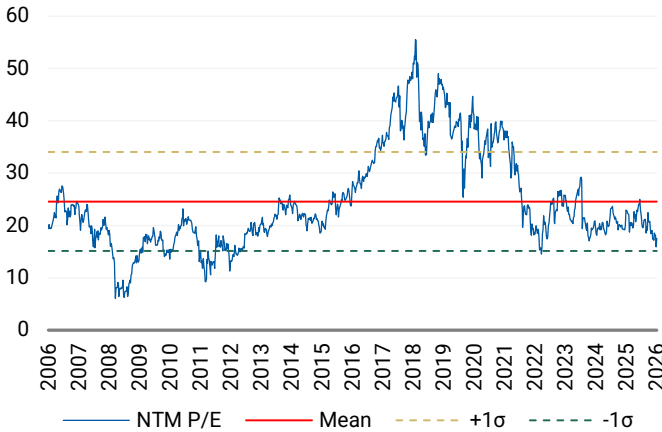
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 15: SAP P/NTM Earnings



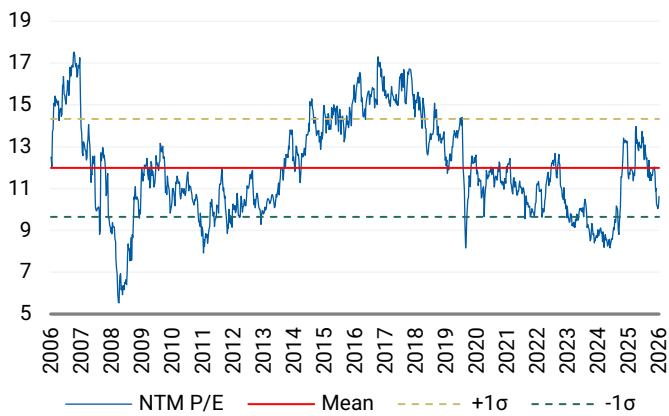
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 16: Temenos P/NTM Earnings



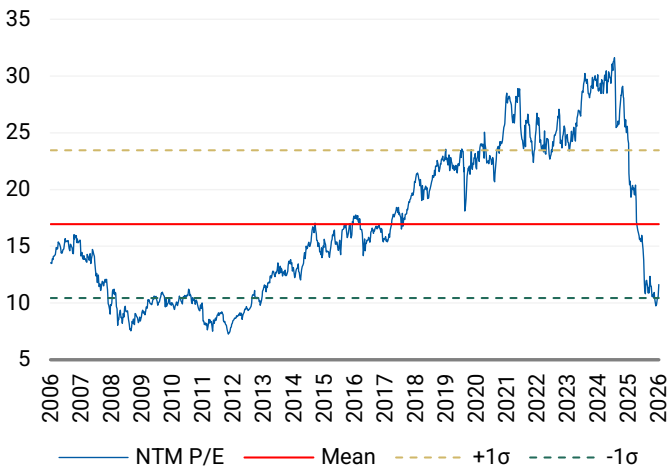
NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 17: Tieto P/NTM Earnings



NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Exhibit 18: Wolters Kluwer P/NTM Earnings



NB: Price at close as of T-1 business day. Source: FactSet, Morgan Stanley Research

Coverage Company Guidance

Exhibit 19: Company Forward Guidance (1/2)

Published Company Guidance / Targets		
	FY26	Mid-term / Long-term
Amadeus	Mid to high single-digit revenue growth (in cc) Adj. EBIT margin stable at cc (FY25: 29.1%) Adj. diluted EPS growth at low double-digit FCF between €1.35-1.45 billion	Over 2026-2028: High single digit annual revenue growth (in cc) Adj. EBIT margin expansion over the period Adj. diluted EPS growth CAGR at low double-digit FCF growth CAGR at high single digit
Capgemini	Revenue growth of +8.5 to 9.0% cc (inorganic c. 5pts; organic c. 3.5 to 4%, MSe) Operating margin of 13.6% to 13.8% Organic FCF of €1.8 to 1.9bn	2028 financial ambitions: 2025-28 revenue CAGR at cc of +5.5-7.5% (c. +3.5-5.5% organic) Operating Profit pre-acquisition expense to reach 12.1-12.3% of revenue (c. 130-150bps expansion vs 2025) Cumulative organic FCF >€6bn over 2026-28
Dassault Systemes	Total revenue growth between 3 to 5% (cc) Software revenue growth 3 to 5% (cc) Services revenue growth of 2 to 6% (cc) Adj. EBIT margin guidance is 32.2 to 32.6% EPS €1.30 to 1.34	Basic 2029 EPS of €2.4
HBX Group International	+13 to +15% YoY growth in TTV -2% to flat YoY revenue growth -5 to -2% adj. EBITDA growth c. 90 to 100% operating FCF conversion	Low-double digit TTV annual growth High-single digit revenue growth Low sixties adj. EBITDA margin % c. 100% cash conversion
Informa	6%± underlying revenue growth 7%+ B2B Events underlying revenue growth 4%± Taylor & Francis underlying revenue growth Return to revenue growth for TechTarget Underlying double-digit growth in adj. EPS	5%+ underlying revenue growth p.a. out to FY28
IONOS Group	Group: c. 7% revenue growth with c. 37-38% adj. EBITDA margin (CC) Web Presence & Productivity: 7-8% revenue growth (CC) Cloud Solutions: c. 10% revenue growth (CC)	Total revenue growth (CAGR) c. 10% Web Presence & Productivity revenue growth (CAGR) c. 9% Cloud Solutions revenue growth (CAGR) c. 20% Adj. EBITDA margin c. 40% Capex (% of revenue) c. 6%
Nemetschek Group	14-15% constant currency organic revenue growth 32-33% adj. EBITDA margin (reported) HCSS (from 1 Jul '26): +c.600bps to reported revenue growth (incl. PPA); c.150bps EBITDA margin dilution vs guidance midpoint	None
Netcompany Group	Group revenue growth of 15-20% y/y (in CC), 5-10% excluding NBS Adj. EBITDA margin of 16-19%, 17-20% excluding NBS	Long-term: Annual organic revenue growth of 5-10% "through any business cycle" Adj. EBITDA margins >20% by (in) FY29
RELX	"We continue to see positive momentum across the group, and we expect another year of strong underlying growth in revenue and adjusted operating profit, as well as strong growth in adjusted earnings per share on a constant currency basis". Buybacks of £2,250m	Risk: "Sustain strong long-term growth profile" STM: "Continue on improving growth trajectory" Legal: "Continue on improving growth trajectory" Exhibitions: "Sustain strong long-term growth profile"

Source: Company data, compiled by Morgan Stanley Research

Exhibit 20: Company Forward Guidance (2/2)

Published Company Guidance / Targets		
	FY26	Mid-term / Long-term
Sage Group	Organic total revenue growth in FY26 to be above 9% Operating margins are expected to trend upwards in FY26 and beyond	None
SAP	Cloud revenue of €25.8-26.2bn at cc (23% to 25% cc growth). Cloud and software revenue of €36.3-36.8bn at cc (12%-13% cc growth). Non-IFRS operating profit of €11.8-12.2bn (13-17% cc growth). Free cash flow c. €10bn	Expect total revenue growth to accelerate in 2027. Total operating expenses are expected to grow at 80 to 90% of total revenue growth in 2027.
Temenos	ARR growth of c. 12% Subscription and SaaS growth of c. 9% EBIT growth c. 9% FCF growth c. 16% (reported)	Mid-term (FY28): ARR to reach >\$1.23bn Non-IFRS EBIT of at least c.\$480m FCF of at least \$410m
Tieto	Organic growth of -5% to -3% and Adj. EBITA margins of 14.8 to 15.8%	Revenue growth of over 5% CAGR in 2027-2028 EBITA margins of over 16% by 2028
Wolters Kluwer	Good organic revenue growth Adj. EBIT margin: c. 28% Diluted adj. EPS growth (% , cc): High single digit growth Adj. FCF (EUR, cc): €1,300m to €1,350m	None

Source: Company data, compiled by Morgan Stanley Research

Appendix: MS European Software & Services Coverage

Exhibit 21: Coverage Summary

Company	Analyst	Rating	Price Target		Software & Services		
Amadeus	George Webb	Overweight	EUR	65.00	amadeus	HEXAGON	DASSAULT SYSTEMES
Capgemini	George Webb	Equal-weight	EUR	117.00	Sage	SAP	NEMETSCHEK GROUP
Dassault Systemes	George Webb	Equal-weight	EUR	22.00	temenos	Netcompany	HBX GROUP
HBX Group International	Mark Hyatt	Equal-weight	EUR	7.90	Capgemini	IONOS	RELX
Hexagon AB	George Webb	N/A	N/A	N/A	informa	Wolters Kluwer	tieto
Informa	George Webb	Overweight	GBp	1,085.00			
IONOS Group	George Webb	Equal-weight	EUR	33.50			
Nemetschek Group	George Webb	Equal-weight	EUR	74.25			
Netcompany	George Webb	Underweight	DKK	334.00			
RELX	George Webb	Equal-weight	GBp	2,990.00			
Sage Group	George Webb	Overweight	GBp	1,125.00			
SAP	Adam Wood	Overweight	EUR	190.00			
Temenos	Mark Hyatt	Underweight	CHF	59.00			
Tieto	Mark Hyatt	Underweight	EUR	15.80			
Wolters Kluwer	George Webb	Equal-weight	EUR	80.50			

Source: Morgan Stanley Research

Prices for other stocks mentioned: Alphabet \$333.36, Amazon, \$235.50, Meta \$539.03, Microsoft \$451.10

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Global Stock Ratings Distribution

(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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INDUSTRY COVERAGE: Technology - Software & Services

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/31/2026)
Adam Wood		
SAP SE (SAP.N)	O (02/20/2026)	US\$180.88
SAP SE (SAPG.DE)	O (03/20/2020)	€157.68
George W Webb		
Amadeus IT Holdings S.A. (AMA.MC)	O (04/10/2026)	€53.34
Capgemini (CAPP.PA)	E (02/19/2026)	€102.50
Dassault Systemes SA (DAST.PA)	E (03/17/2026)	€20.05
Hexagon AB (HEXAb.ST)		SKr 93.62
IONOS Group SE (IOSn.DE)	E (05/12/2025)	€31.42
Nemetschek SE (NEKG.DE)	E (07/13/2022)	€58.05
Netcompany Group A/S (NETCG.CO)	U (01/12/2026)	DKr 323.00
Sage (SGE.L)	O (12/08/2021)	973p
Marie-Ange Riggio		
Indra (IDR.MC)	O (07/14/2026)	€56.80
Mark Hyatt		
HBX Group International PLC (HBX.MC)	E (04/17/2026)	€7.72
Temenos Group AG (TEMN.S)	U (12/15/2017)	SFr 66.95
Tieto Oyj (TIETO.HE)	U (01/12/2026)	€18.54

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